PROJECT STATUS AND RECONCILIATION REQUEST

May 26, 2026

Jim Long, Steve White, and Justin Miller
S&J Properties Construction, Inc.
4155 Blackhawk Plaza Circle, Suite 210
Danville, CA 94506

Delivered via: Email and Registered Mail on May 26, 2026

Dear Jim, Steve, and Justin,

We are writing to formally address critical status, payment, and compliance concerns regarding the residential remodeling project at 270 Bolla Ave. We have paid over **$1,341,815.01** in net cash to date on the project. Despite these prompt disbursements, the project is currently **9 months behind schedule** and remains significantly incomplete.

Our intention is straightforward: we would prefer for S&J to complete the house, but only if the project can continue under a lawful, documented, and trust-restoring process. Before we release any further unsupported funds, we need S&J to provide an auditable reconciliation showing whether the money paid by us is ahead of the value actually delivered to the project. Specifically, S&J must identify all money collected from us that has not actually been spent on the 270 Bolla Ave project; for any money S&J contends has been spent, S&J must provide the underlying invoices, vendor/subcontractor contacts, proof of payment, delivery or storage records, and lien-release documentation needed for us to verify that claim independently.

We will assess the fair market value of the work and materials actually present at the site, along with the value of any intellectual work product prepared for the project and paid for by us. All such work product must be delivered to us and must match the invoices charged to us. Any charge that cannot be supported by completed work, delivered materials, verified project-specific vendor payment, secured stored materials, or delivered work product must be credited or repaid to us with applicable interest.

At a high level, we are asking for three things by the dates stated below: **(1)** by **May 29, 2026**, proof of Cobex payment status and a roofing restart plan; **(2)** by **June 2, 2026**, lien releases, subcontractor disclosures, a full financial accounting, all paid-for design and engineering work product, and warehouse/manufacturer verification for uninstalled materials; and **(3)** by **June 4, 2026**, site cleanup and HOA-compliant jobsite conditions.

More critically, roofing work recently stopped after Cobex Construction, the roofing subcontractor engaged for our project, had not been paid. S&J has verbally represented that Cobex has now been paid. However, on May 23, 2026, we received a California Preliminary Notice from Cobex Construction Group, served May 21, 2026, identifying Cobex's roofing scope and an estimated contract value of $120,057.00. While a preliminary notice is not a recorded lien, it confirms that Cobex has preserved mechanic's-lien rights unless payment status and corresponding lien-release documentation are confirmed.

This issue follows our March 11, 2026 letter and the subsequent meeting in which we discussed S&J's progress-billing practices and our concern that those practices do not conform to California home-improvement law. In that meeting, S&J explained that California's home-improvement billing requirements are difficult to administer because certain vendors expect deposits or payment before fabrication, delivery, or installation. We understand that S&J may face vendor-payment and cash-flow challenges. However, those challenges cannot be shifted to us through invoices for work not yet performed, materials not yet delivered, or change orders billed merely upon approval rather than actual value provided.

This concern is not limited to recent invoices. Early in the project, S&J billed and received substantial front-loaded amounts tied to ordering or procurement events, including **$82,267.50** for "start of ordering selections" and **$115,174.50** for "start ordering construction materials." Those charges total approximately **$197,442.00** before considering later approval-based change-order invoices. Whether or not those early charges are now partly water under the bridge from a practical completion standpoint, they remain relevant because they show the same structural problem: S&J has repeatedly collected money before corresponding delivered work, delivered materials, lien releases, and auditable vendor-payment proof were available.

We are also concerned that S&J's percentage milestone invoices, including invoices calculated as fixed percentages of the total contract amount, do not provide a reliable way to determine whether the amounts billed correspond to the actual value of work performed or materials delivered. California law requires a progress-payment schedule to specifically describe each phase of work, including the type and amount of work or services scheduled to be supplied in that phase and the amount of the proposed progress payment. A percentage label such as 2% of the contract amount does not, by itself, establish that the payment is tied to completed work, delivered materials, or other legally billable value.

S&J previously presented a spreadsheet purporting to show that project funding was not ahead of work in place, but we were not provided a copy and cannot rely on an undocumented summary, especially after the Cobex non-payment stoppage and our understanding that the electrical subcontractor has also started work without being paid current by S&J. Moving forward, all future progress payments must align with actual work performed, materials delivered to the site, or materials separately verified through documentation sufficient to protect us, our lender, and the property from lien exposure.

To restore trust and proceed with this project, S&J must resolve the following compliance items and supply the requested audit documentation. Because of the Memorial Day holiday weekend, the response periods are computed forward from Tuesday, May 26, 2026.

1. COMPLIANCE AND RECONCILIATION REQUIREMENTS

A. Subcontractor Lien Releases for Past Work

All work paid to date needs to be supported by appropriate lien-release documentation, and we require an agreement to continue this practice going forward. S&J must supply conditional or unconditional lien waivers from all subcontractors and suppliers for all milestones and change orders paid to date. This includes Cobex Construction, as well as the concrete, framing, plumbing, electrical, and stucco trades. This is especially critical given the $120,057.00 California Preliminary Notice served by Cobex Construction Group on May 21, 2026. Under Business & Professions Code § 7159.5(a)(6), upon payment and before any further payment is made, S&J must furnish unconditional releases from potential lien claimants for the portion of work covered by the prior payment when requested; we will withhold further payment to the extent required releases are not furnished.

B. Subcontractor Disclosures and Future Engagements

Under California Business & Professions Code § 7159(c)(7), we require a complete and legally compliant list of subcontractors used on this project to date, as well as an agreement for future disclosures:

1. **List of Subcontractors to Date:** Provide the company names, license numbers, and contact details for all active or engaged subcontractors, professional consultants, and design services, including:
    - **Concrete:** Villas Concrete
    - **Framing:** Juarez Framing
    - **Roofing:** Cobex Construction
    - **Plaster & Stucco:** EROD
    - **Cabinets:** SW Cabinets
    - **Countertops:** California Marble & Stone
    - **Architect of Record & Structural Engineer**
    - **Plumbing** (including James Vicochea, Rafael Avila, or any other plumbing contractor)
    - **HVAC** subcontractor
    - **Electrical** subcontractor
    - **Pergola Fabricator/Installer**
    - **Front Door Supplier/Installer**
    - **Garage Door Company**
2. **Future Subcontractor Disclosure:** Identify all remaining subcontractor types/trades required to complete the project (e.g., Tile work, Flatwork/Outdoor Concrete, Drywall, Painting, etc.) and provide prompt notification of every subcontractor that has been used or will be engaged on the project, as required by California law.

C. Factually Auditable Financial Accounting

To verify that all funds have indeed been applied to 270 Bolla Ave, we require a full accounting detailing exactly how our payments have been spent. This accounting must be factually auditable and include: * Names, businesses, and phone numbers of all vendors and subcontractors paid. * Exact dates and details of funds transferred for every item. * Copies of vendor and subcontractor invoices, receipts, payment confirmations, and order confirmations supporting each claimed expenditure. * Date of order, date of delivery, and the current location of all materials (on premises, in a warehouse, etc.). * Identification of all funds collected from us that have not yet been spent on the project. * A reconciliation showing whether total funds paid by us exceed the fair value of work performed, materials delivered, verified off-site materials, and documented project-specific vendor payments. * A copy of any spreadsheet, schedule, or internal reconciliation S&J relies on to contend that project funds are not ahead of project value.

D. May 4, 2026 Payment Remittance and Current Deferred Items

On May 4, 2026, we issued a detailed remittance advice and paid **$75,717.20** toward the then-current S&J balance. That payment was not a refusal to pay; it funded identified items that had either been completed or were specifically approved for payment, including garage door deposit, exterior entry redesign items, rough electrical box-out, stucco lath, and the applicable counter-stone credit.

At the same time, we expressly deferred payment on specific items that had not yet been installed, completed, or otherwise verified: * INV #15642: Cabinet overage * INV #15663: Approval of niche * INV #15714: Powder tile feature wall * INV #15739: Tile overage * INV #15746: BBQ & Outdoor Utilities * INV #15748: Skylights * INV #15750: Heated primary bath floors

Those deferred items should be reconciled upon installation, final completion, delivery of materials, or delivery of documentation sufficient to verify that the amounts billed correspond to actual value provided.

This is part of a broader pattern that must be reconciled. For example, S&J quoted the underfloor closed-cell spray foam upgrade at **$12,500.00** on July 30, 2025, and then issued **INV #15340** on **August 4, 2025** for **$6,250.00**, described on S&J's August 31, 2025 statement as **"50% at approval of underfloor insulation."** We paid that charge, yet the underfloor/floor insulation has not been installed at the project, and S&J's May 22, 2026 task export separately identifies the second 50%

underfloor insulation completion invoice as **not started**. If S&J contends this charge was lawful and earned when billed, S&J must provide documentation showing the completed work, delivered materials, or verified stored materials supporting the charge. Otherwise, this amount must be credited or refunded. The same standard applies to any other invoice billed at approval, ordering, or anticipated start rather than actual work performed, materials delivered, or documented value provided.

E. Delivery of Design and Engineering Work Product

S&J has billed for, and we have paid for, substantial design and engineering services across this project (totaling over $49,000.00, including structural modifications, plan checks, and pergola engineering). We require a full, organized delivery of **all intellectual work product in relevant formats and files** (including CAD files, blueprints, calculations, and schematics) from architecture, computations, engineering, and design.

Every invoice we have paid must have an associated, verifiable work product. This includes:

- Pergola engineering and revised pergola engineering calculations and drawings, including support for the $18,964.00 billed for pergola engineering and revisions, plus documentation supporting the separate $38,194.80 billed as "20% on order of custom structure pergola."
- Work product associated with early design invoices where the deliverables are not clear from the current record, including redesigns or engineering work that was subsequently abandoned.

Any paid invoice not supported by delivered work product, completed work, delivered materials, or legally sufficient procurement documentation must be reconciled, credited, or refunded with applicable interest.

F. Invoicing Rules & Warehouse Protocol Going Forward

We will follow California construction law going forward. S&J can determine how it wishes to handle manufacturer payments, vendor deposits, and working capital, but we will not approve or fund any future invoice or progress billing that does not identify the completed work, delivered materials, lien-release status, and supporting documentation required by California Business & Professions Code §§ 7159(d)(9) and 7159.5(a)(5). Our invoicing rules are as follows:

1. **Work-in-Place:** We will only pay for labor and installation that is fully completed on-site. No advance payments for labor will be made.
2. **On-Site Materials:** We will pay for materials once they are physically delivered to the project premises.
3. **Off-Site Stored Materials ("Warehouse Protocol"):** We will allow payments for change orders or milestone invoices for off-site stored materials *only* when S&J provides verifiable documentation proving the materials are secured on our behalf. S&J must supply:
   - Official manufacturer order confirmations and paid vendor invoices.
   - Direct proof of payment (stamped receipts or bank confirmations) proving S&J actually remitted the funds to the suppliers.
   - Warehouse storage logs, intake paperwork, and the physical address of the storage facility.
   - Direct contact information (names and phone numbers) for representatives at both the warehouse and the manufacturer so we can independently verify that the order is complete, paid in full, and secured on our behalf.
4. **Subcontractor Lien Releases:** S&J must provide a signed Conditional Waiver and Release from each involved subcontractor and supplier before any milestone or change order payment is released, followed by an Unconditional Waiver and Release once the payment clears.

Nothing in this warehouse protocol waives our position that progress payments must comply with California law, including the requirement that amounts requested or accepted not exceed the value of work performed or materials delivered except where a legally recognized bond, joint-control, or other approved arrangement applies.

G. Site Cleanliness & HOA Compliance

Remove the overflowing dumpster, clear all construction debris from the driveway and front yard, and restore the jobsite to a clean and HOA-compliant condition.

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2. RESPONSE DEADLINES

To resolve these matters, S&J must supply the requested documentation and resolve the following items on or before the specified deadlines:

Required by Friday, May 29, 2026 (3 Business Days from Receipt):

- **Document Roofing Payment and Restart Plan:** Provide written confirmation and proof of transaction showing S&J has paid Cobex Construction the past-due balance, address the May 21, 2026 Cobex preliminary notice, request and provide the corresponding lien release when available, and provide Cobex's confirmed return-to-work date once scheduled.

Required by Tuesday, June 2, 2026 (5 Business Days from Receipt):

- **Lien Releases for Past Work:** Provide conditional or unconditional lien releases from the concrete, framing, roofing, plumbing, electrical, and stucco subcontractors for all milestones paid to S&J to date.

- **Subcontractor Disclosures:** Provide the complete subcontractor list and verify the disclosure process for future subcontractors.
- **Full Financial Accounting:** Provide the itemized, auditable accounting of disbursed funds, including vendor contact details and payment confirmations.
- **Full Design & Engineering Work Product:** Provide a complete set of CAD files, calculations, blueprints, and plans for all design phases paid to date. Any paid invoice that is not supported by verifiable work product is subject to a credit back to our account.
- **Warehouse Protocol Setup:** Provide direct manufacturer and warehouse verifications for the LaCantina doors, Renson pergola, and other uninstalled material deposits.

Required by Thursday, June 4, 2026 (7 Business Days from Receipt):

- **HOA Site Clean-Up:** Restore the jobsite to a clean, safe, and HOA-compliant condition.

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3. SUMMARY OF REQUIRED OUTCOME

To be clear, we are asking S&J to do the following:

1. Identify all project funds collected from us that have not yet been spent on the 270 Bolla Ave project.
2. For all funds S&J contends have been spent, provide the invoices, receipts, payment confirmations, vendor/subcontractor contacts, delivery records, storage records, and lien releases needed for independent verification.
3. Deliver all design, engineering, architectural, calculation, CAD, drawing, and related work product prepared for the project and paid for by us, matched to the invoices charged.
4. Reconcile all paid amounts against the fair market value of work actually performed, materials actually delivered or verifiably secured, project-specific vendor payments actually made, and intellectual work product actually delivered.
5. Credit or refund, with applicable interest, any amount that cannot be supported by completed work, delivered materials, verified project-specific vendor payment, secured stored materials, or delivered work product.
6. Confirm that future billing will be based only on completed work, delivered materials, verified secured materials, required lien releases, and documentation sufficient to comply with California law.

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4. RESERVATION OF RIGHTS

Please be advised that on our May 4, 2026 payment draw, we paid **$75,717.20** for identified items and deferred payment on uncompleted, uninstalled, or unverified items. We will continue to withhold those deferred allocations, and any future payments not supported by completed work, delivered materials, required lien releases, or sufficient verification, until S&J provides the documentation and compliance assurances outlined above.

Our preference remains for S&J to complete the house. However, if S&J cannot meet these response deadlines or cannot continue under a documented payment-control and completion protocol, we will evaluate all available remedies, including legal counsel, CSLB remedies, termination of Contract #6232, and recovery of unearned funds and carrying costs.

We expect S&J’s prompt cooperation to resolve these matters immediately.

Sincerely,

Bernie & Molly Habermeier
270 Bolla Ave, Alamo, CA